



LOTUSXBT TRADING MODEL

CRYPTO TRADING USING PRICE ACTION

@LOTUS_XBT

The background image shows a modern building interior. A long, light-colored wooden floor leads towards a large glass window that looks out onto a green landscape. The walls are made of light-colored wood panels. The lighting is soft and natural, coming from the window.

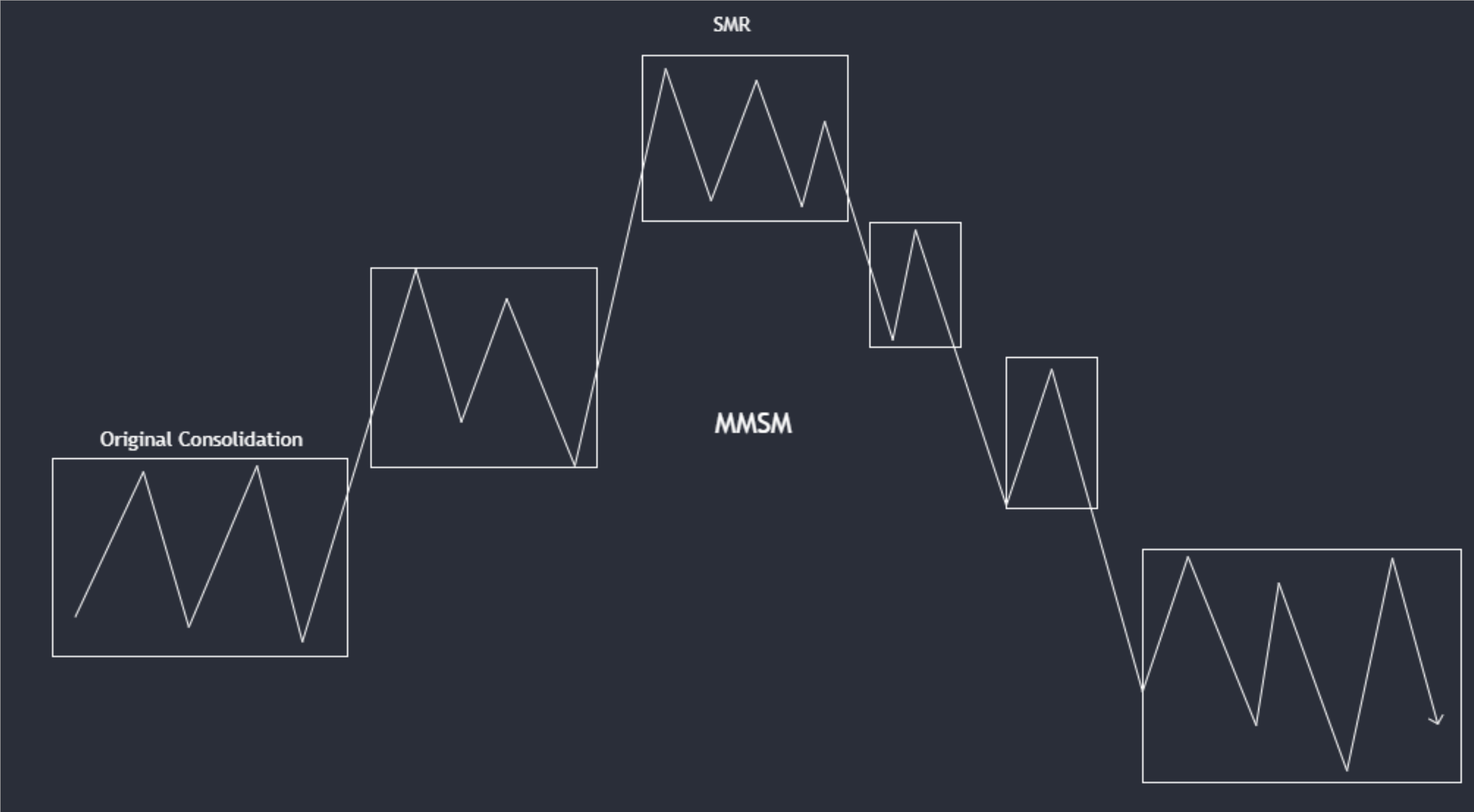
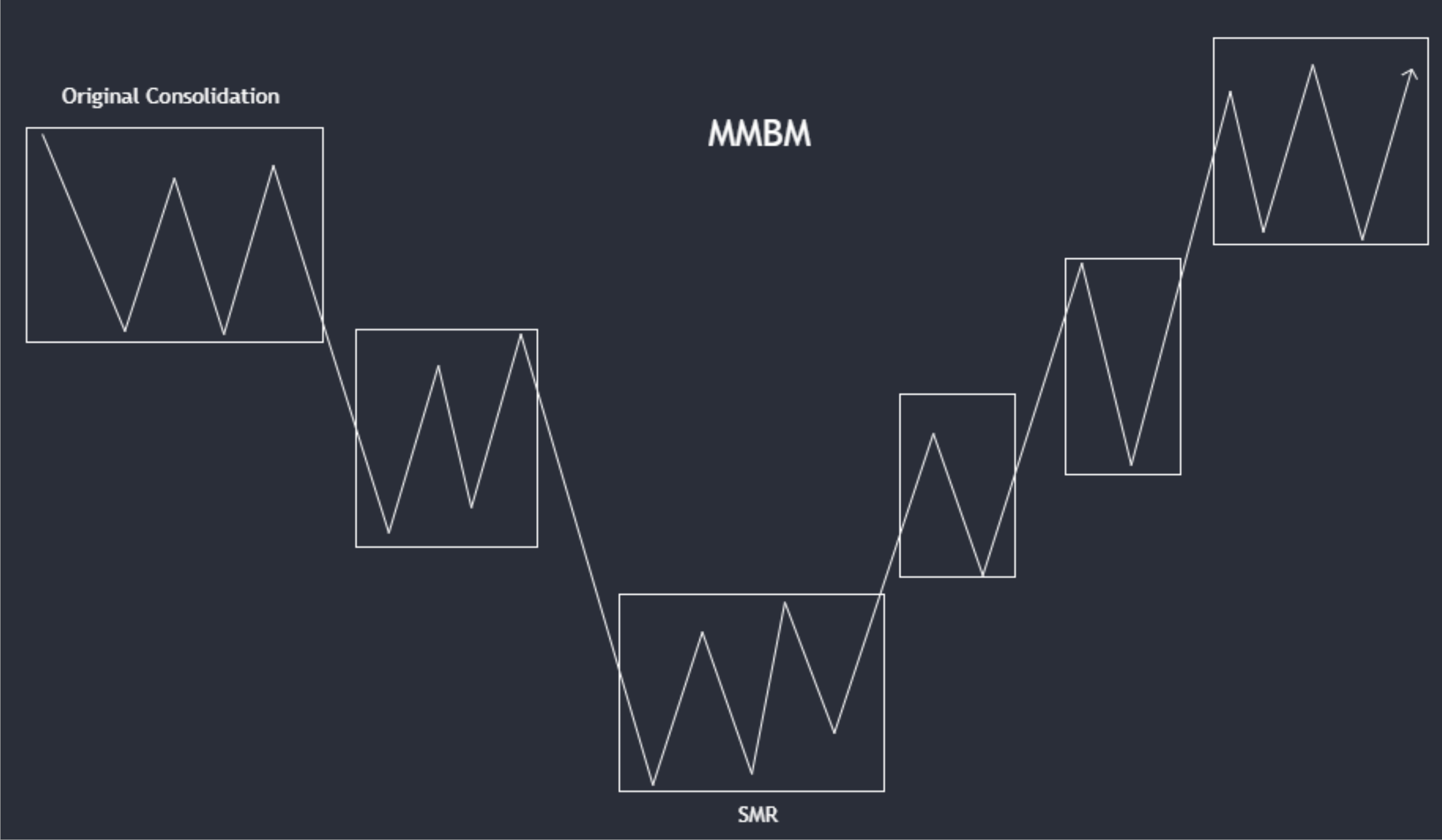
A guide to how i trade per the: ICT Market Maker Buy/Sell Model + ICT 2022 YT Mentorship Model

All credits go to ICT for aiding in development of this Trading Model. All concepts used here are based on concepts taught by ICT.

The Market Maker Buy/Sell Model

Price moves from:

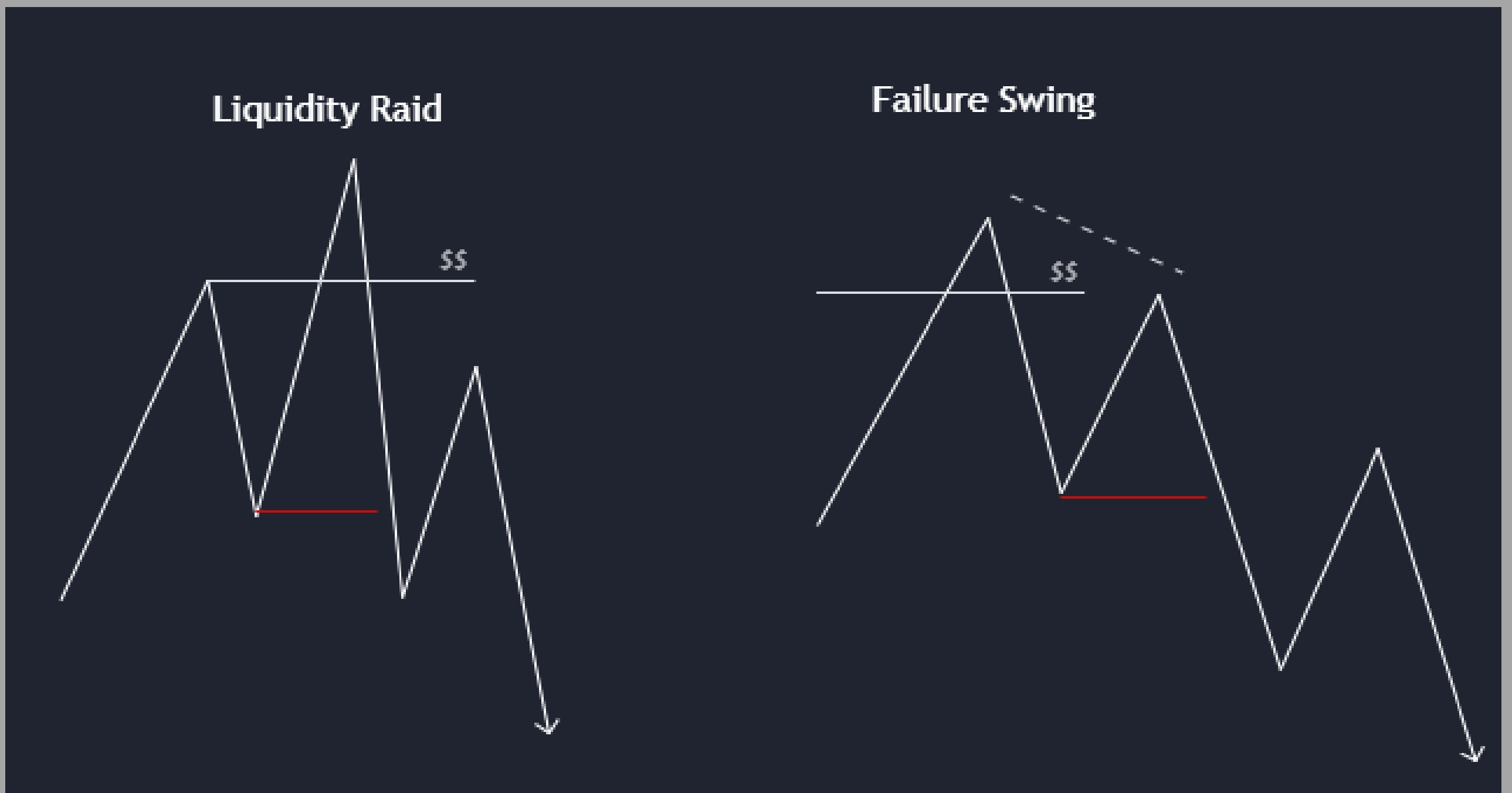
Consolidation -> Expansion -> HTF POI Sweep -> Smart Money Reversal (SMR) -> Return to the original consolidation



Smart Money Reversal

A Smart Money Reversal (SMR) can occur in 2 ways;

- Liquidity Raid (Turtle Soup)
- Failure Swing



Directional Bias & Trading Framework

Directional Bias is determined via the Draw on Liquidity (DOL)

The DOL will be either:

- An Liquidity Pool: Buy/Sell Side Liquidity
- An Imbalance

Directional Bias will be to take trades in the direction of the DOL.

Weekly:

- What is the market most likely to draw towards?
- Is there an imbalance or liquidity pool?

This sets the initial bias for the week.

Daily:

- Where are the liquidity pools price can seek?
- The draw on liquidity for the most part is found on the Daily chart.

E-MINI S&P 500 FUTURES (SEP 2022), 1D, CME_MINI O3766.25 H3767.75 L3761.00 C3763.75

Keys To Daily Bias...

Every Day Bias Is Unrealistic.

Determine The Likely Weekly Expansion.

Look For Obvious Liquidity In That Direction.

Identify Imbalances In Price Delivery Top Down.

Focus On The High or Medium Calendar Event Dates.

Look For Directional Price Runs In My Killzones Intraday.

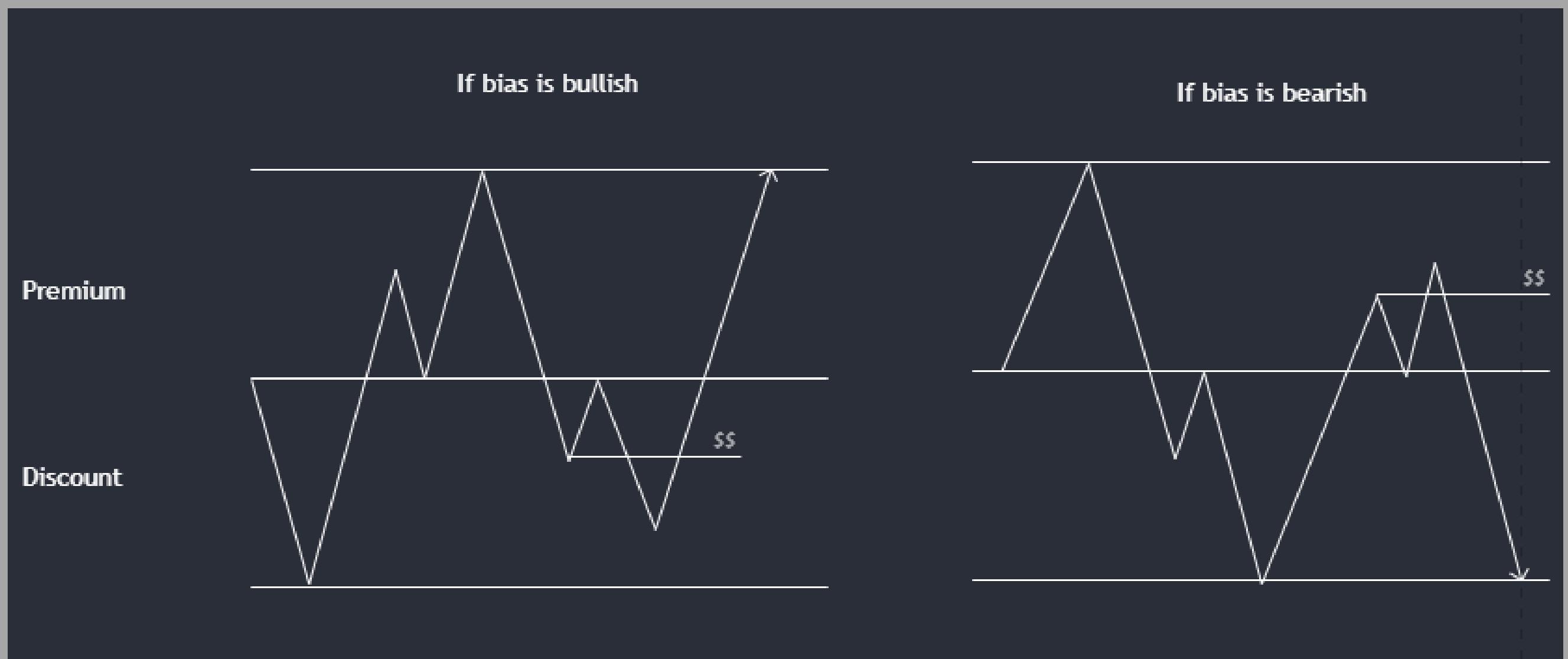
21 28 Apr 11 18 25 May 9 16 23 Jun 7 13 17 27 Jul

Credit: ICT

Premium/Discount & Dealing Ranges

If bias is bearish, we seek to enter shorts in the premium of the current trading range.

If bias is bullish, we seek to enter longs in the discount of the current trading range.

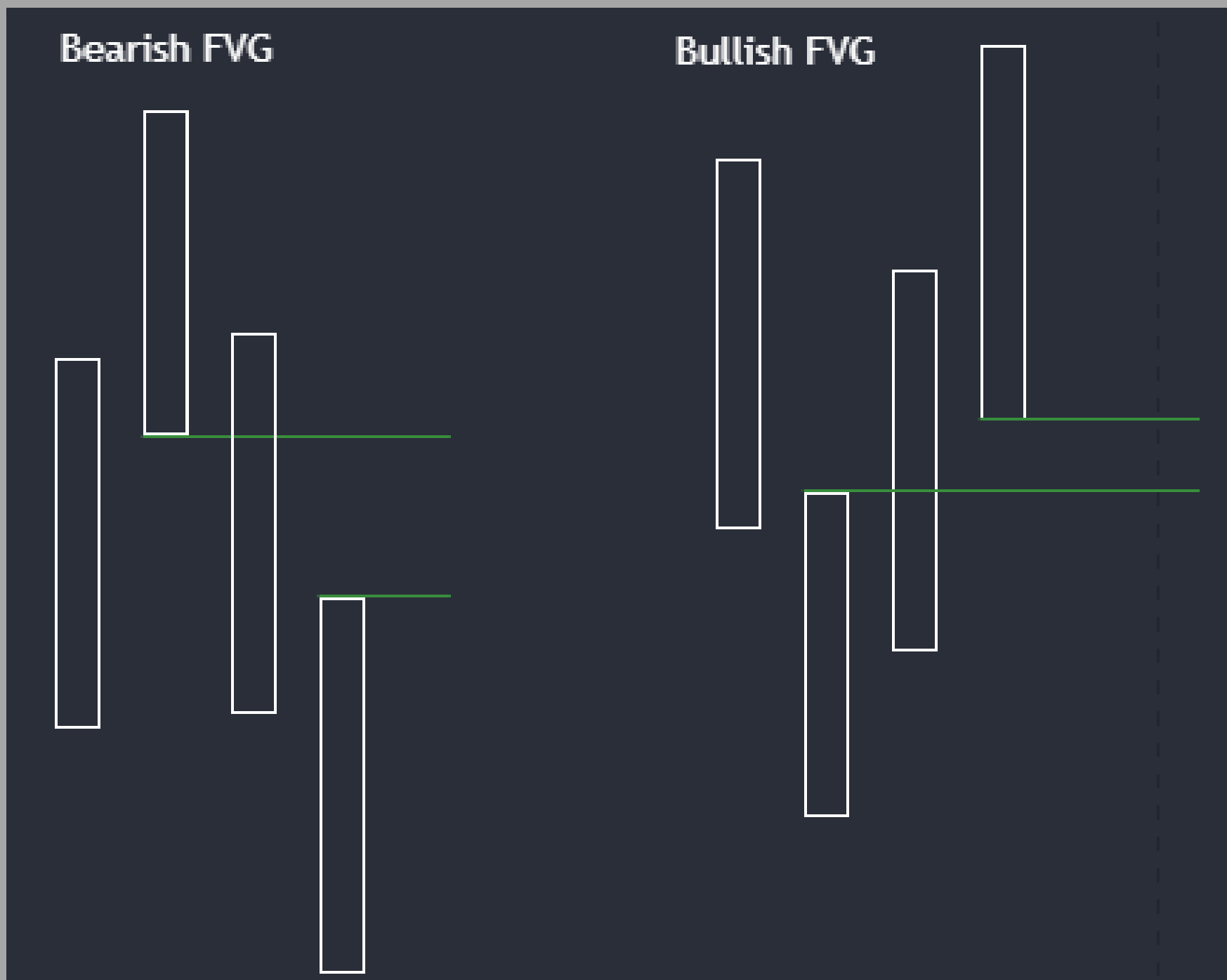


[ICT Youtube Video: Dealing Ranges](#)

[Dealing Ranges Notes - By @Fytte](#)

Fair Value Gaps

FVGs are an area of liquidity. Price delivers to this area to pick up liquidity and distribute this liquidity to willing buyers/sellers above/below old highs/lows.



The optimal FVG:

- 1. Created after a run of buy/sell side liquidity**
- 2. In premium of the price leg that broke structure if bias is bearish or in discount of the price leg that broke structure if bias is bullish**
- 3. During NY/Asia/Euro Session**

Sessions

Increasing correlation with BTC and TradFi markets recently means it makes more sense to trade 'Equity sessions'.

Morning Session:

8:30AM-12:00PM EST (UTC-New York on Tradingview)

Afternoon Session:

1:00PM - 4:30 PM EST (UTC-New York on Tradingview)

NY Session Process

1. Before 8:30AM mark out key highs/lows/for a stop hunt or FVGs.
2. At/After 9:30AM open, wait for a raid of Liquidity (either FVG/Old highs/low) and a displacement above/below the liquidity pool.
3. Entry at FVG targeting an opposing POI. Preferable entry timeframe M1-M5.

Refer to NY Session charts for examples.

Timeframes

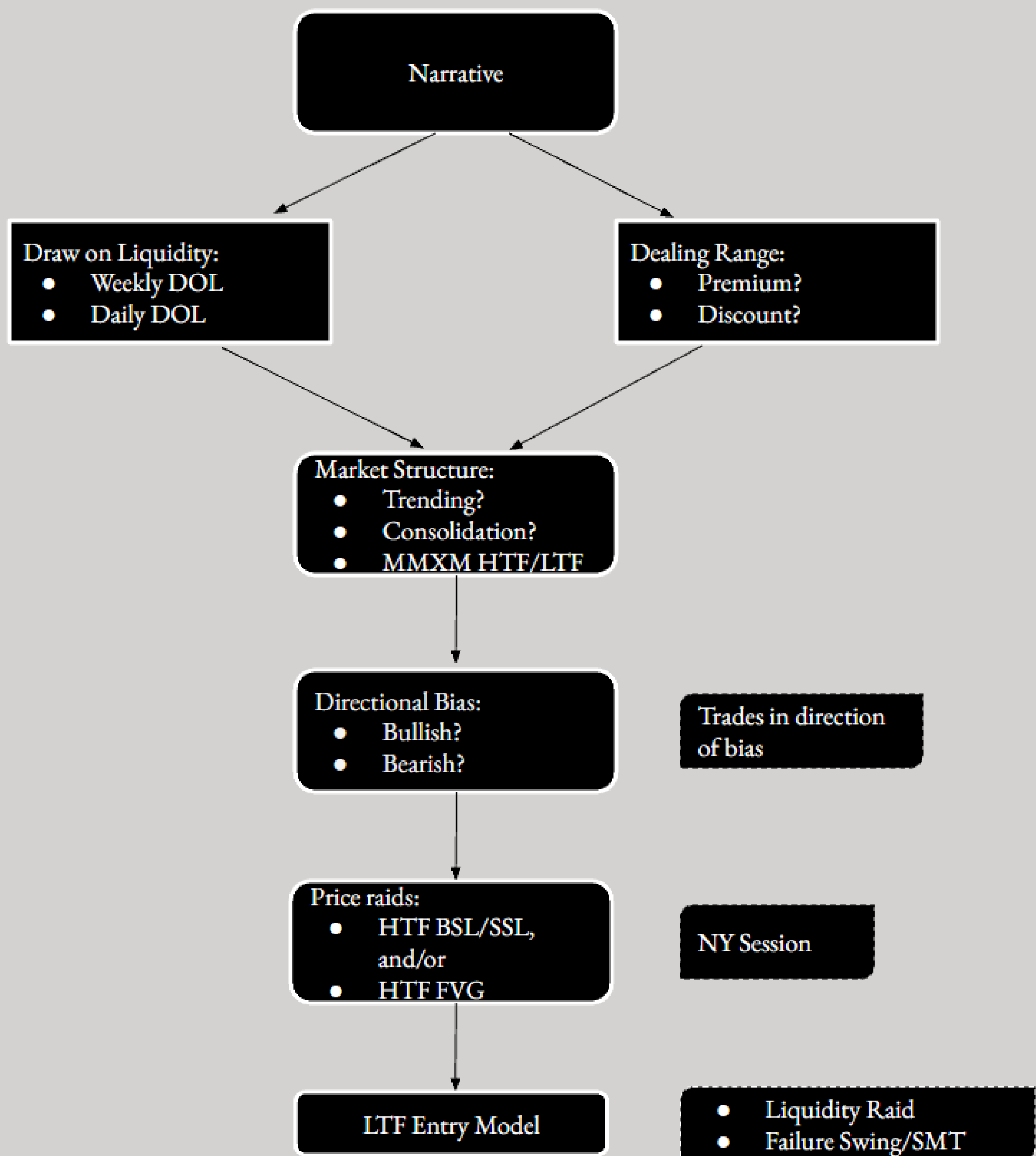
1. Monthly -> Daily
2. Weekly -> H4
3. Daily -> M15/H1
4. H4 -> M5/M15
5. H1 -> M1-M5
6. M15 -> M1-M5

Process

1. Establish Bias/Identify Draw on Liquidity
2. High time frame (HTF) Draw on Liquidity is taken. Either or both:
 - Buy/Sell Side Liquidity Raid: HTF raid of old high/low
3. Low Time Frame Entry:
 - Wait for Price to fall below the BSL/SSL/FVG level.
 - **MMXM**
 - **SMR + MSB + Return to FVG**
4. Take Profit targets:
 - BSL/SSL resting above/below consolidation points along the **MMXM** curve
 - HTF Fair Value Gaps

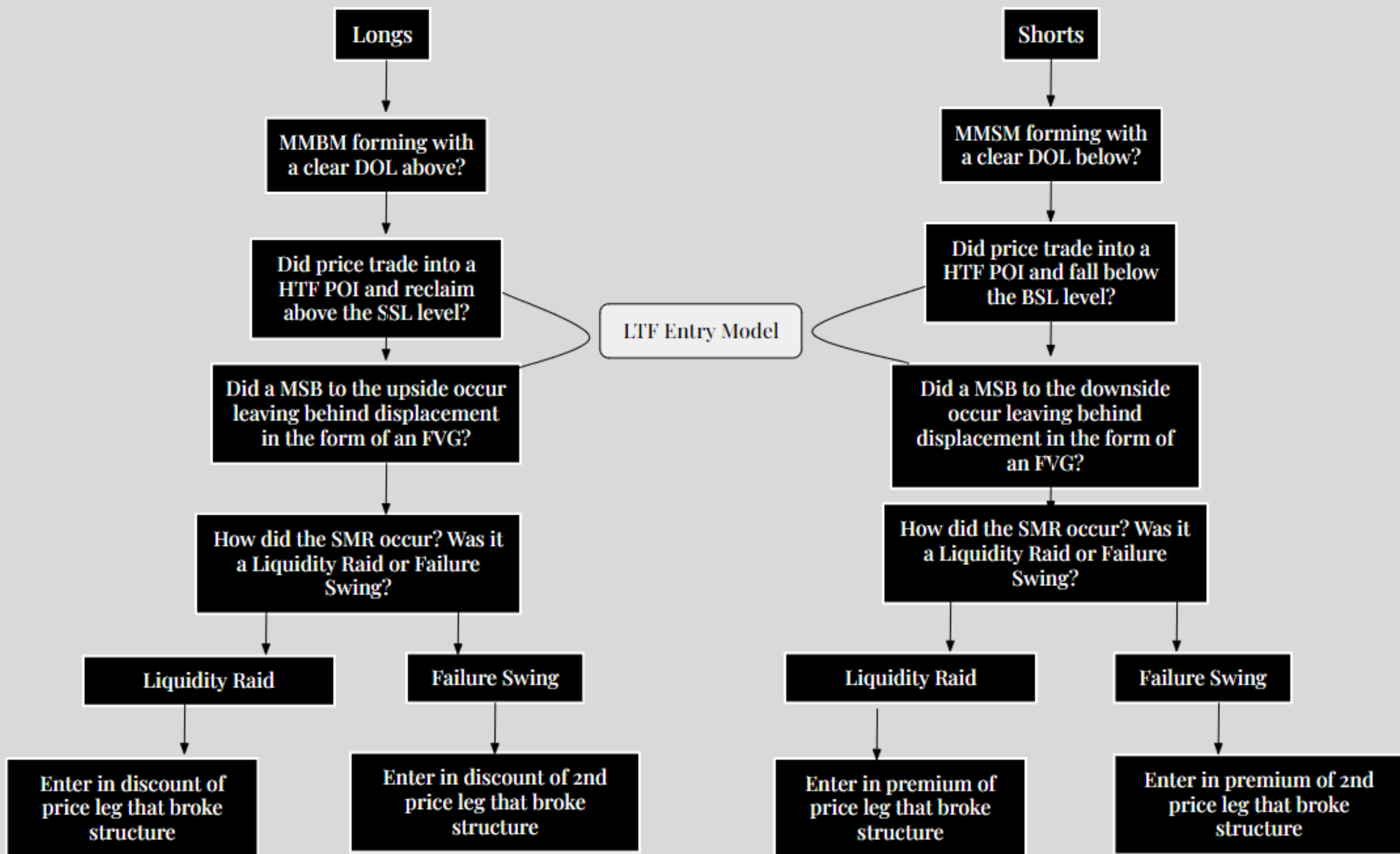


Process Flowchart



Checklist

If looking for:



Examples

Annotated Chart Examples

Tips

Before the Daily/Weekly open, mark out previous day/week highs/lows, then wait on LTF for possible entries.

If there are multiple FVGs within the price leg that broke structure, use the Fib tool to mark out the premium/discount of that price leg, and set orders in the FVGs close to the 0.5/equilibrium point.

When trading Altcoins, it helps to be in sync with BTC. If an altcoin breaks structure but BTC price action is indicating the opposite, i often wont take the altcoin trade. Your FVG/Orderblock entry on the altcoin has a low chance of holding if BTC is indicating a different bias.

Twitter Thread on Market Structure/Bias: How to Determine Bias



A.K. 🇬🇧 @Ali_Khan_ICT · Mar 12

You should view fair value gaps as an area of liquidity. Price delivers to this area to pick up liquidity (internal range liquidity) and distributes this liquidity to willing buyers/sellers above/below old highs/lows (external range liquidity)



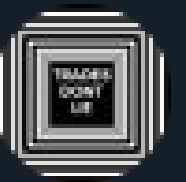
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Trades Dont Lie @Tradesdontlie · Apr 30

When bearish I'm waiting for a 1 hour Sellside-Liquidity to get accumulated, then distributed at a 1 hour Buyside-Liquidity

When that distribution happens THEN I drop to a LTF and look for a MMSM to form, but only AFTER the Buyside-Liquidity is distributed

“Narrative” & Bias👁👁



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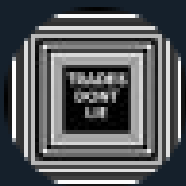
218



The Prop Trader ⚡ @sfinning · May 14

Limit yourself to these 2 types of trade:

1. Internal to External Liquidity - BOS & FVG Fill to PDH/PDL Raid
2. External to Internal Liquidity - PDH/PDL Raid to EQH/EQL & FVG Fill



Trades Dont Lie @Tradesdontlie · Apr 29

Replying to @OkoTrading

I ask myself these questions:

What's the daily draw on liquidity? (Bias)

What's the most recent 1hour pool of liquidity that's been accumulated?

What opposing pool of liquidity will be distributed to?

What 1hour and 15min arrays are likely to have a LTF MMXM form near them?

Relevant Links

- [ICT Course of Study](#)
- [Market Maker Model Youtube Playlist](#)
- [ICT 2022 Youtube Mentorship](#)
- [Chart Examples](#)
- [NY Session Charts BTC](#)
- [Braveheart PDF Notes](#)